

Module - 3 - INDAS - 2 : Inventories.

• Objective:

The objective of Ind AS 2 Valuation of inventories is to prescribe the accounting treatment for inventories. The inventories are to be recognised as a Current asset.

1. Meaning :

Inventories are assets:

1. Held for Sale in the ordinary Course of business.
2. In the process of production for such Sale.
3. In the form of materials or Supplies to be Consumed in the production process or in the rendering of Services.

2. Net Realisable Value:

It is the ^{forecasted / Predicted} estimated Selling Price in the ordinary Course of business less the estimated Cost of Completion and estimated Costs necessary to make a Sale.

In Simple words, it refers to the net amount that an entity ~~expect~~ expects to realise from the Sale of inventories.

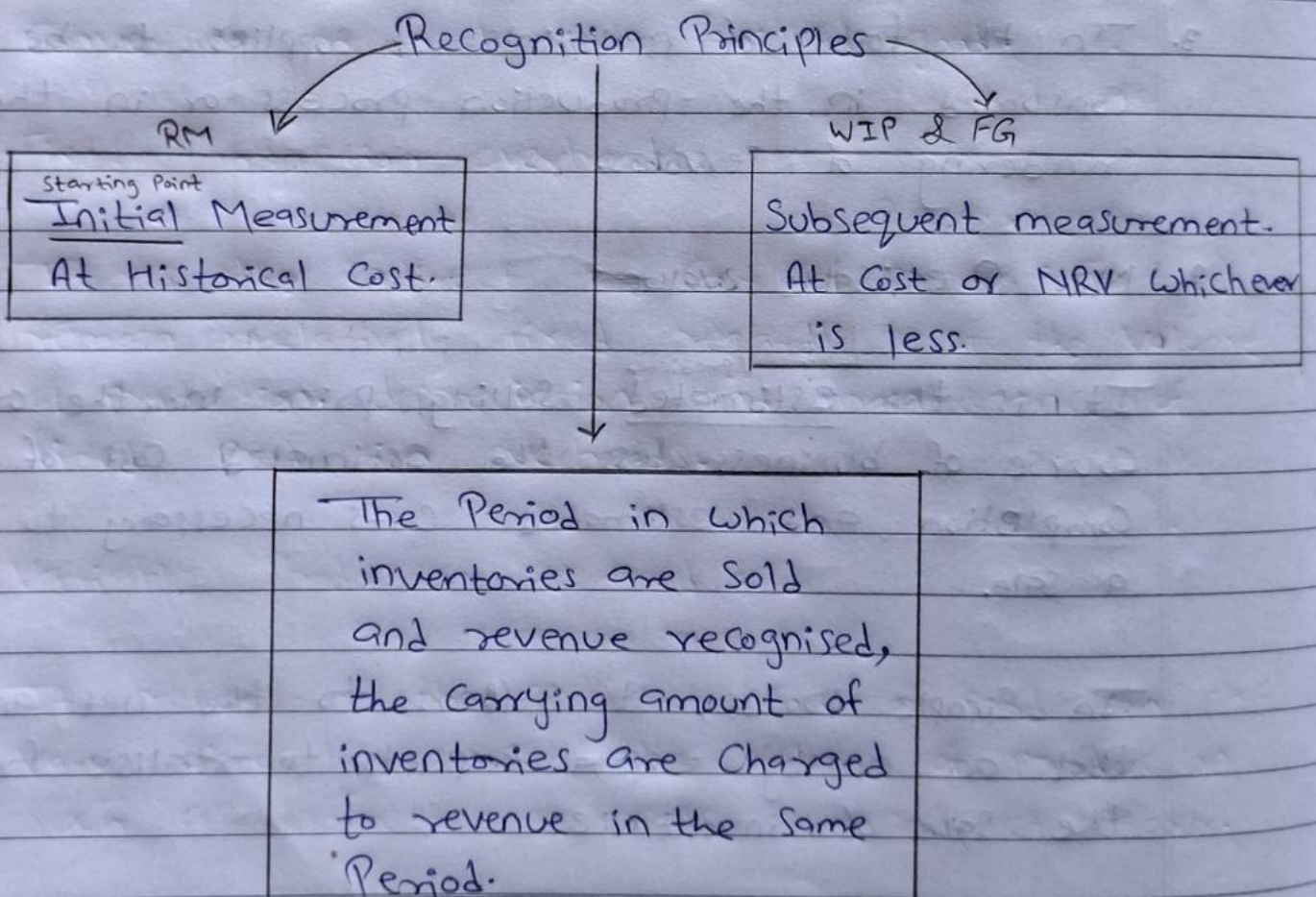
3) Fair Value :

It is the price that would be received on selling an asset or paid to transfer a liability.

Net realisable value for inventories may not equal fair value less cost to sell.

Recognition Principles :

Recognition Principles as per the Standard is diagrammatically represented as under.

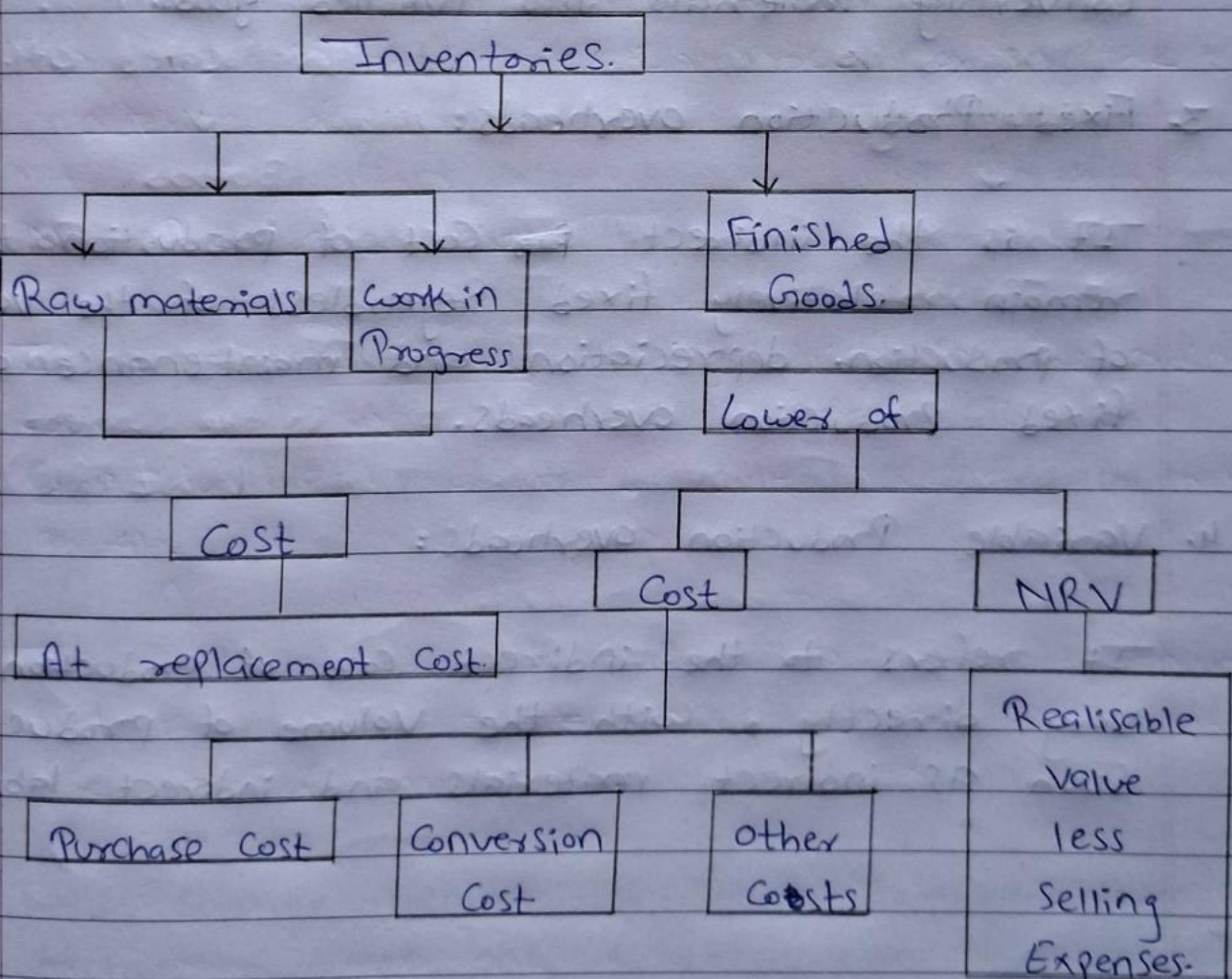


Measurement of inventories :

Inventories shall be measured at the lower of Cost and Net Realisable Value (NRV).

For example :-

- Cost is ₹ 500 and NRV is ₹ 300 then inventories value as per Ind AS 2 is ₹ 300.
- Cost is ₹ 500 and NRV is ₹ 600 then inventories value as per Ind AS 2 is ₹ 500.



1. Cost of Purchase :

It includes the purchase price, import duties, and transport, handling and other cost directly attributable to the purchase of finished goods, materials and services.

2. Cost of Conversion :

It includes cost directly related to the units of Production such as direct labour they also includes a systematic allocation of fixed and variable production overheads at are incurred in converting materials into finished goods.

3. Fixed Production overheads:

It is the indirect ~~pro~~ cost of production that remain relatively fixed regardless of the volume of production. depreciation and maintenance of fixed production overheads.

4. Variable Production overheads:

It refers to the indirect cost of production that vary directly, with the volume of production such as indirect materials and indirect labour.

5. Normal Capacity :

Normal Capacity means the average level of production that a factory is normally expected to achieve over a period of time after considering normal interruptions such as planned maintenance.

Example :- Suppose a factory can produce 10,000 units per month, but every month the factory normally closes for maintenance for a few days. Therefore, its normal production is 8,000 units per month.

Maximum Capacity = 10,000 units.

Normal Capacity = 8,000 units.

The fixed Production overhead is allocated based on 8,000 units, not 10,000 units.

* What happens when production is low?

→ Suppose fixed production overhead = ₹ 80,000
 Normal Capacity = 8,000 units.

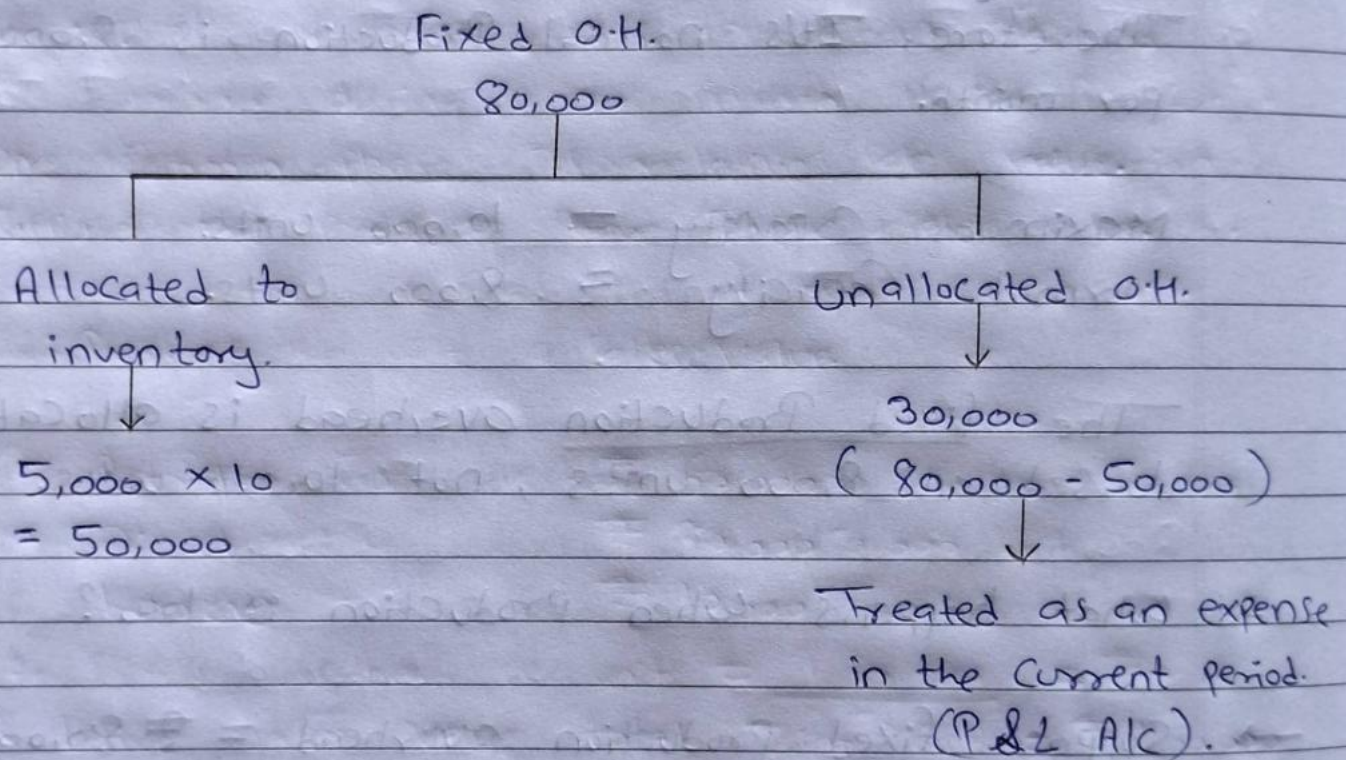
$$\therefore \text{Fixed OH Per unit} = \frac{80,000}{8,000} = ₹ 10 \text{ per unit.}$$

Now, Suppose because of Power damage, the factory produces only 5,000 units.

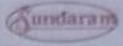
We don't increase the O.H. per units to ₹ 16
 $(80,000 \div 5,000)$

Instead O.H. allocated to inventory = $5,000 \text{ units} \times ₹ 10$
 $= ₹ 50,000$

Remaining ₹ 30,000 unallocated O.H.
 ₹ 30,000 is treated as an expense in the
 Current period.



- Fixed OH Amount - Same.
- Variable OH P.U. - Same.

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Meaning:- So, the fixed overhead allocated to each unit decreases. This Prevents inventory from being valued at an unnecessarily high amount.

In Simple words :

Abnormally high production $\rightarrow$ Fixed overhead per unit decreases.

* Variable production overheads.

Variable O.H. Changes according to the level of production.

For example :- Electricity used in production, machine running expenses, etc.

Suppose, Variable O.H. = ₹ 50,000

Actual Production = 5,000 units.

Variable O.H. per unit $\frac{50,000}{5,000} = ₹ 10$ per unit.

* Joint Products :

Sometimes in the production process, one process produces two or more product at the same time.

These are called joint products.

for example :- Petroleum Refinery.

When Crude oil is processed, it produces many products.

Petrol

Diesel

Kerosene

LPG

The initial processing cost cannot easily be identified separately for each product.

Suppose the total processing cost is ₹ 1,00,000.

The company has to divide this ₹ 1,00,000 between petrol, diesel and other products using a rational basis.

One common phase is relative sales value.

Suppose the products have these sales value.

Product	Sales Value
Petrol	₹ 60,000
Diesel	₹ 30,000
Kerosene	₹ 10,000

Relative sales value total Joint Cost = ₹ 1,00,000

∴ Cost of each product-

Petrol get = 60%.

Diesel get = 30%.

Kerosene get = 10%.

* What is a By-Product?

→ A by-Product is a secondary product produced along with the main product.

for example :- Suppose a Company manufactures Sugar.

The main product produced is Sugar and the by-Product produced is molasses.

Meaning of Molasses.

It is a Secondary product produced along with the main product is Sugar. It is a thick, dark, sticky liquid that is produced as a by-product when Sugar is made from Sugarcane.

It can be used for food and baking, Animal feed, Fermentation and Alcohol products, also in some industrial products.

Usually, the by-Product is not as important in value as the main product.

* How a by-Product is treated.

By-Product maybe measured at Net Realisable Value (NRV).

Cost of producing the main product = ₹ 1,00,000

By-Product can be sold for = ₹ 15,000

Selling expenses for by-product = ₹ 3,000.

$$\begin{aligned}\text{Therefore, NRV} &= \text{Selling Price} - \text{Selling Expenses.} \\ &= 15,000 - 3,000 \\ &= 12,000.\end{aligned}$$

This ₹ 12,000 is deducted from the Cost of the main product.

$$\begin{aligned}\text{Therefore, Cost of main product} &= 1,00,000 - 12,000 \\ &= 88,000\end{aligned}$$

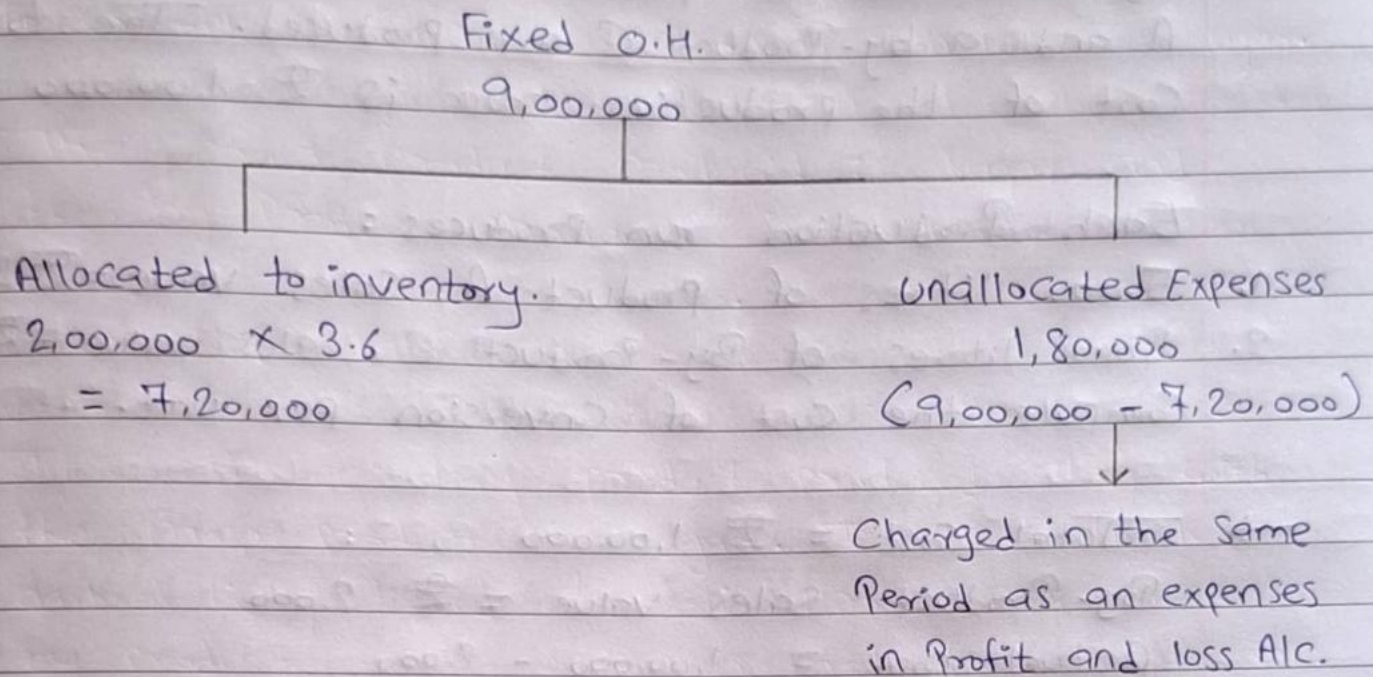
Q.1 An entity incurred fixed production overhead of ₹ 9,00,000 during a 1 month period in which it manufactured 2,50,000 units of production. Its normal capacity is 2,50,000 units per month. Compute the overhead to be allocated for Computing the Cost of Conversion.

$$\begin{aligned}\rightarrow \text{Fixed Production overhead} &= 9,00,000 \\ \text{Normal Capacity} &= 2,50,000 \text{ units}\end{aligned}$$

$$\therefore \text{Fixed overhead per unit} = \frac{9,00,000}{2,50,000} = ₹ 3.6 \text{ per unit.}$$

Q.2 The facts are the Same as in the above illustration. However the entity manufactures 2,00,000 units during the month. Compute the O.H. to be allocated for Computing the Cost of Conversion.

→ Fixed Production O.H. per unit = ₹ 3.6
Actual Capacity = 2,00,000 units (No. of units Produced).



8.3 The facts are the same as in the above illustration. However the entity manufactures 3,00,000 units during the month. This level of production is abnormally high. Compute the O.H. to be allocated for Computing the Cost of Conversion.

→ Fixed Production O.H. = ₹ 9,00,000
No. of units Produced = 3,00,000 units per month
∴ Fixed O.H. per unit = $\frac{9,00,000}{3,00,000} = 3$ per unit.

Q.4. An entity manufactures a Chemical A for use in the agricultural industry. The production process requires a mixture of base chemicals followed by a maturation process and from which a product A and a by-Product C are produced. The total Cost of the production run is ₹ 1,00,000

Each Production run Produces :

1. 5,000 litres of product A, Sales value = ₹ 2,50,000
2. 1,000 litres of By-Product C, Sales value = ₹ 2,000.

Compute the Cost of Conversion per unit.

$$\rightarrow \text{Total Cost} = ₹ 1,00,000$$

$$\text{By-Product Sales value} = ₹ 2,000$$

$$\begin{aligned} \text{Actual Cost} &= 1,00,000 - 2,000 \\ &= 98,000 \end{aligned}$$

$$\text{Quantity of product A produced} = 5,000 \text{ litres}$$

$$\text{Per unit Cost of Conversion} = \frac{98,000}{5,000}$$

$$= 19.6 \text{ per unit.}$$

Q.5. The facts are the same as in the above illustration. However, instead of the by-Product there is another joint product B resulting from the maturation process. Furthermore, the total Cost of a production run is ₹ 3,00,000.

1. 5,000 litres of product A, Sales value = ₹ 2,50,000
2. 4,000 litres of Product B, Sales value = ₹ 4,00,000

Compute the Cost of Conversion.

→ Cost of production. Run: 3,00,000

product A 5000 Liters : value 2,50,000
 product B 4000 Liters : value 4,00,000

2,50,000 : 4,00,000

$$\frac{25}{5} : \frac{40}{8} = \underline{\underline{13}}$$

$$\begin{aligned} \text{product A} &= 3,00,000 \times \frac{5}{13} = 1,15,384.61 \\ \text{product B} &= 3,00,000 \times \frac{8}{13} = 1,84,61.39 \end{aligned}$$

$$\begin{aligned} 1,15,384.61 \div 5000 &= 23.076 \text{ per liter} \\ 1,84,61.39 \div 4000 &= 46.15 \text{ per liter} \end{aligned}$$

$$\begin{aligned} \text{product A} &= \del{23} 23.07 \text{ per liter} \\ \text{product B} &= 46.15 \text{ per liter} \end{aligned}$$

* Valuation of Cost of inventory.

A] FIFO Method.

B] Weighted Average Cost Method.

$$WAC = \frac{\text{Total Cost goods available for sale.}}{\text{Total units available for sale.}}$$

Illustration -6.

Stock of material with MK Ltd. as on 1st March 2025 was 1,000 units at ₹ 10 per unit. The following purchases and issues were made during month ended 31st March 2025:

Purchases :

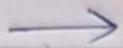
- 5th March 2025 : 2,000 units at ₹ 11 per unit.
- 9th March 2025 : 3,000 units at ₹ 12 per unit.
- 22nd March 2025 : 9,000 units at ₹ 14 per unit.

Issues :

- 15th March 2025 : 5,400 units.
- 25th March 2025 : 2,600 units.
- 31st March 2025 : 5,000 units.

You are required to find the following from the above details :

- Closing Stock as on 31st March 2025 using the FIFO Method
- Closing Stock as on 31st March 2025 using the WAC Method.
- Cost of goods sold during the month using closing stock valuation as per FIFO Method.



MK Ltd.

Stock ledger Account as per FIFO Method for the month ended 31st March 2025.

Date.	Receipts			Issues			Balance		
	Qty	Rate	Amount	Qty	Rate	Amount	Qty	Rate	Amount
1-3-25	-	-	-	-	-	-	1,000	10	10,000
5-3-25	2,000	11	22,000	-	-	-	1,000	10	10,000
				-	-		2,000	11	22,000
9-3-25	3,000	12	36,000	-	-		1,000	10	10,000
							2,000	11	22,000
							3,000	12	36,000
15-3-25	-	-	-	1,000	10	10,000	-	-	-
				2,000	11	22,000	-	-	-
				2,400	12	28,800	600	12	7,200
22-3-25	9,000	14	1,26,000	-	-	-	600	12	7,200
							9,000	14	1,26,000
25-3-25	-	-	-	600	12	7,200	-	-	-
				2,000	14	28,000	7,000	14	98,000
31-3-25	-	-	-	5,000	14	70,000	2,000	14	28,000
Total			1,84,000			1,66,000			

∴ The value of closing stock as on 31st March, 2025 is 2,000 units at ₹ 14 = ₹ 28,000

Cost of goods sold (under FIFO).

$$\begin{aligned}
 &= \text{opening stock} + \text{Purchases} - \text{Closing stock} \\
 &= 10,000 + 1,84,000 - 28,000 \\
 &= ₹ 1,66,000.
 \end{aligned}$$

Stock ledger Account as per WAC Method for the month ended 31st March, 2025.

Date	Receipts			Issues			Balance		
	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)
1-3-25	-	-	-	-	-	-	1000	10	10,000
5-3-25	2000	11	22,000	-	-	-	3,000	10.66	32,000
9-3-25	3,000	12	36,000	-	-	-	6,000	11.33	68,000
15-3-25	-	-	-	5,400	11.33	61,200	600	11.33	6,800
22-3-25	9,000	14	1,26,000	-	-	-	9,600	13.83	1,32,800
25-3-25	-	-	-	2,600	13.83	35,967	7,000	13.83	96,833
31-3-25	-	-	-	5,000	13.83	69,167	2,000	13.83	27,666
Total.			1,84,000			1,66,334			

∴ Value of Closing Stock as on 31st March, 2025 is 2,000 units at ₹ 13.83 = ₹ 27,666

Illustration - 7

From the following Particulars, prepare stock records by FIFO and WAC Method:

Date	Transaction	Units	Rate
1 Jan 26	Purchase	40	30
17 Jan 26	Purchase	60	28
21 Jan 26	Sales	50	35
22 Jan 26	Purchase	80	29
23 Jan 26	Sales	80	33
24 Jan 26	Sales	20	34
25 Jan 26	Purchase	100	26
31 Jan 26	Sales	90	35

The Stock on hand on 1 Jan, 2026 was 50 units at ₹ 20 each.

71800

at ₹ 26 = 23100

(Cost of goods sold under FIFO)

Opening stock + Purchases = Closing stock

5000 + 71800 = 76800

76800 - 23100 = 53700

Stock ledger Account as per FIFO Method

Date	Receipts			Issues			Balance		
	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)
1-Jan 26	-	-	-	-	-	-	50	20	1,000
1-Jan 26	40	30	1,200	-	-	-	50	20	1,000
							40	30	1,200
17 Jan 26	60	28	1,680	-	-	-	50	20	1,000
							40	30	1,200
							60	28	1,680
21 Jan 26	-	-	-	50	20	1,000	40	30	1,200
							60	28	1,680
22 Jan 26	80	29	2,320	-	-	-	40	30	1,200
							60	28	1,680
							80	29	2,320
23 Jan 26	-	-	-	40	30	1,200	20	28	560
				40	28	1,120	80	29	2,320
24 Jan 26	-	-	-	20	28	560	80	29	2,320
25 Jan 26	100	26	2,600	-	-	-	80	29	2,320
							100	26	2,600
31 Jan 26	-	-	-	80	29	2,320			
				10	26	260	90	26	2,340
Total .			7,800			6,460			

∴ The value of Closing stock is 90 units at ₹ 26 = 2,340

Cost of goods Sold (under FIFO).
 = opening stock + Purchase - Closing stock.
 = 1000 + 7800 - 2340
 = ₹ 6,460

Stock ledger Account as per WAC Method.

Date	Receipts			Issues			Balance		
	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)
1-Jan 26	-	-	-	-	-	-	50	20	1,000
1-Jan 26	40	30	1,200	-	-	-	90	24.44	2,200
17-Jan 26	60	28	1,680	-	-	-	150	25.87	3,880
21-Jan 26	-	-	-	50	25.87	1,294	100	25.86	2,586
22-Jan 26	80	29	2,320	-	-	-	180	27.26	4,906
23-Jan 26	-	-	-	80	27.26	2,180	100	27.26	2,726
24-Jan 26	-	-	-	20	27.26	545	80	27.26	2,181
25-Jan 26	100	26	2,600	-	-	-	180	26.56	4,781
31-Jan 26	-	-	-	90	26.56	2,390	90	26.57	2,391
Total.			<u>7,800</u>			<u>6,409</u>			

$\therefore$ The value of closing stock is 90 units at
 $\text{₹ } 26.57 = \text{₹ } 2,391$

Q. From the following information find out Value of Stock by preparing stores ledger as per FIFO and WAC Method (Perpetual) Method.

Date	Transaction	Units	Rate
1-Apr. 26	Opening balance	1,000	50.0
3-Apr. 26	Purchase	5,000	60.0
4-Apr. 26	Sales	3,000	62.5
6-Apr. 26	Sales	3,000	62.5
7-Apr. 26	Purchase	3,000	50.0
9-Apr. 26	Sales	2,000	54.8
10-Apr. 26	Sales	500	55.0

The weekly physical Stock taking on 8th Apr. 2026 should a Shortage of 100 units.

→ Stock ledger Account as per FIFO Method.

Date.	Receipts			Issues			Balance		
	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)
1-Apr-26	-	-	-	-	-	-	1,000	50.0	50,000
3-Apr-26	5,000	60.0	3,00,000	-	-	-	1,000	50.0	50,000
							5,000	60.0	3,00,000
4-Apr-26	-	-	-	1,000	50.0	50,000	-	-	-
				2,000	60.0	1,20,000	3,000	60.0	1,80,000
6-Apr-26	-	-	-	3,000	60.0	1,80,000	-	-	-
7-Apr-26	3,000	50.0	1,50,000	-	-	-	3,000	50.0	1,50,000
8-Apr-26	-	-	-	100	50.0	5,000	2,900	50.0	1,45,000
9-Apr-26	-	-	-	2,000	50.0	1,00,000	900	50.0	45,000
10-Apr-26	-	-	-	500	50.0	25,000	400	50.0	20,000
Total.			4,50,000			4,80,000			

∴ The value of closing stock is 400 units at
 ₹ 50.0 = ₹ 20,000

Stock ledger Account as per WAC Method.

Date	Purchase			Issues			Balance		
	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)	Qty	Rate	Amt (₹)
1 Apr. 26	-	-	-	-	-	-	1000	50.0	50,000
3 Apr. 26	5000	60.0	3,00,000	-	-	-	6000	58.33	3,50,000
4 Apr. 26	-	-	-	3000	58.33	1,75,000	3,000	58.33	1,75,000
6 Apr. 26	-	-	-	3000	58.33	1,75,000	-	-	-
7 Apr. 26	3000	50.0	1,50,000	-	-	-	3000	50.0	1,50,000
8 Apr. 26	-	-	-	100	50.0	5,000	2,900	50	1,45,000
9 Apr. 26	-	-	-	2000	50	1,00,000	900	50	45,000
10 Apr. 26	-	-	-	500	50	25,000	400	50	20,000
Total			4,50,000			4,80,000			

∴ The Value of Closing Stock as on 31st March, 2026
is 400 units at ₹ 50 = ₹ 20,000

Q. Following are the purchases and sales of rice in month of march, 2026. Prepare a statement showing valuation of stock on the basis of FIFO.

Date	Purchase (Kg)	Rate (Rs.)	Sales (Kg)
1 March 26	600	4.0	
4 March 26			300
5 March 26	300	3.8	
11 March 26			200
18 March 26	200	4.2	
22 March 26			400
28 March 26	400	4.4	
31 March 26			300

- Outoff purchases of 5th March, 50 Kg were returned to the Supplier on 9th March.

Outoff sales on 22 March, A Customer returned 20 Kg on march 25th.

Stock ledger Account as per FIFO Method for the month of march, 2026.

2000	2000
2000	2000
2000	2000

The value of closing stock as on 31st March 2026 is 2000 Rs.

If 20 Kg returned to the Supplier on 9th March 2026, the value of closing stock as on 31st March 2026 is 2000 Rs.

The value of closing stock as on 31st March 2026 is 2000 Rs.

→ Stock ledger Account as per FIFO Method for the month of March, 2026.

Date	Receipts			Issues			Balance		
	Qty (kg)	Rate	Amt (₹)	Qty (kg)	Rate	Amt (₹)	Qty (kg)	Rate	Amt (₹)
1 March 26	600	4.0	2,400	-	-	-	600	4.0	2,400
4 March 26	-	-	-	300	4.0	1,200	300	4.0	1,200
5 March 26	300	3.8	1,140	-	-	-	300	4.0	1,200
							300	3.8	1,140
(Returned) 9 March 26	-	-	-	50	3.8	190	300	4.0	1,200
							250	3.8	950
11 March 26	-	-	-	200	4.0	800	100	4.0	400
							250	3.8	950
18 March 26	200	4.2	840	-	-	-	100	4.0	400
							250	3.8	950
							200	4.2	840
22 March 26	-	-	-	100	4.0	400			
				250	3.8	950			
				50	4.2	210	150	4.2	630
(Returned issued) 25 March 26	20	4.2	84	-	-	-	170	4.2	714
28 March 26	400	4.4	1,760	-	-	-	170	4.2	714
							400	4.4	1,760
31 March 26	-	-	-	170	4.2	714			
				130	4.4	572	270	4.4	1,188
			<u>6,224</u>			<u>5,036</u>			

∴ The value of Closing Stock as on 31st March, 2026 is 270 Kg at ₹ 4.4 = ₹ 1,188.

Note:- 1) 50 Kg returned on 9th March out of 5th March purchases are shown as issues at a rate of ₹ 3.8.

2) Sales returned on 25th March out of 22 March sale is priced at ₹ 4.2.